

LAKSH'S DAILY BRIEF

Laksh's Daily Brief — August 23, 2026

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World · Markets & Money · AI & Infrastructure · Models & Research



AI Jazeera — PM Tarique Rahman's trip stalled: What it means for Bangladesh-India ties



AI Jazeera — Nordic nations 'have lost confidence in Infantino', demand FIFA reforms



BBC World — Kejelcha breaks men's half marathon world record by 29 seconds

1. World & Geopolitics

US-Canada trade war erupts as talks collapse, 50% tariffs take effect

The United States and Canada failed to reach a trade deal on Friday, triggering new 50% US tariffs on roughly \$20 billion of Canadian exports ([CNBC](#)). Canadian Prime Minister Mark Carney responded by calling the situation "at war" with the US and announced retaliatory tariffs "dollar for dollar" starting September 8 ([NPR](#)). President Trump lashed out on social media, writing "No more!!!" and "Canada wants the benefits of being a State, with none of the costs" ([The Guardian](#)). The breakdown is a major escalation of Trump's trade war against a traditional ally, covering items from hockey sticks to tongue depressors.

Background: Tariffs are taxes on imported goods. When the US imposes a 50% tariff on Canadian products, the importer (a US company) pays the tax at the border. That company typically passes the cost to consumers through higher prices. Canada's retaliatory tariffs will do the same to US exporters selling into Canada. The "who pays" question is critical: the tariff is collected from the importing company, but the economic burden is shared between the foreign exporter, the domestic importer, and the end consumer — economists call this "tariff incidence."

Why it matters: The US and Canada have the largest bilateral trade relationship in the world, worth roughly \$800 billion annually. A full-blown trade war between them raises prices for consumers on both sides, disrupts integrated supply chains (auto parts, lumber, agricultural

goods), and hurts corporate profits. It also creates political uncertainty for investors.

US Navy flies through Taiwan Strait ahead of anticipated Xi-Trump meeting

A US Navy P-8A Poseidon maritime patrol aircraft transited the Taiwan Strait on Saturday ([The Times of India](#)). The flight comes weeks before Chinese President Xi Jinping is expected to meet President Trump in the US. China's military said it tracked the aircraft and warned against "provocative actions" ([WION](#)). The transit is a "freedom of navigation" operation — the US position is that the Taiwan Strait is international waters, while China claims jurisdiction over it as part of its territory.

Why it matters: The Taiwan Strait is one of the world's most dangerous flashpoints. Taiwan produces over 90% of the world's most advanced semiconductor chips (3nm and below), making it central to both the global economy and the AI buildout. Any disruption to shipping or chip supply from Taiwan would be catastrophic for the tech industry. The US Navy fly-through is a signal to China that the US will not cede control of the strait, even as both sides prepare for diplomacy.

Iran's president backs US memorandum as path out of stalled war

Iranian President Masoud Pezeshkian said that a US memorandum of understanding (MoU — a non-binding agreement outlining areas of cooperation) is the best path out of the stalled conflict ([India Today](#)). The

statement came amid reports of deadlock in the war and regional unrest ([ABC News](#)). Separately, a small UK power generator was shut down after a cyberattack linked to Iran, though the UK government said it posed no risk to the broader energy system ([CNBC](#)).

Why it matters: The US has been pursuing a strategy of "maximum pressure" on Iran through sanctions (financial penalties that restrict trade and banking). Pezeshkian's willingness to engage on a memorandum suggests Iran may be looking for a diplomatic off-ramp. But the cyberattack on UK infrastructure shows the conflict has multiple dimensions beyond the negotiating table. The Strait of Hormuz, through which about 20% of the world's oil passes, remains a key chokepoint — any escalation there would directly impact global oil prices.

Zelensky rejects wartime elections, outlines peace plan and frontline concerns

Ukrainian President Volodymyr Zelensky said holding elections during wartime would "destroy the country" and "split" Ukraine ([France 24](#)). He also outlined frontline goals and a drafted peace plan, warning that if Russia achieves its eastern objectives, Moscow could redirect 300,000 mobilized troops toward Kyiv and Chernihiv ([Kyiv Post](#)). The remarks came after his former defense minister, Mykhailo Fedorov, publicly called for wartime elections and accused Zelensky of knowing about government corruption ([BBC](#)).

Why it matters: Ukraine's ability to hold elections is constrained by martial law, the displacement of millions of citizens, and active fighting. Russia has used the lack of elections to question Zelensky's legitimacy. Putin says he is open to talks but has rejected specific peace plans ([112.ua](#)). The political infighting in Kyiv is a distraction from the war effort and could weaken Ukraine's negotiating position.

India and China: paradoxical relationship deepens

India's National Security Advisor Ajit Doval heads to Beijing to stabilize relations ([Dainik Jagran](#)). Meanwhile, an analysis of the "paradoxical relationship" notes that China overtook the US as India's top trading partner in

fiscal year 2026, even as the two countries remain locked in an intensifying military standoff along their border ([Geopolitical Futures](#)). India's trade deficit with China has widened to roughly \$112 billion.

Why it matters: This is a classic example of economic interdependence coexisting with geopolitical rivalry. India imports Chinese goods (electronics, machinery, chemicals) while competing with China for influence in South Asia. The \$112 billion deficit means India sends far more money to China than it receives — a source of tension. Bangladesh-India ties are also strained, with Bangladesh PM Tarique Rahman's trip stalled over the question of former PM Sheikh Hasina living in New Delhi ([Al Jazeera](#)).

Heavy Israeli air strike hits warehouse in central Gaza

An Israeli air strike hit a warehouse in central Gaza, with residents reporting they received evacuation warnings before the attack ([Al Jazeera](#)). Israeli Defense Minister Israel Katz instructed the military to "act immediately and forcefully" to prevent launches of balloons, kites, or drones from Gaza ([ABC News](#)).

Other notable world stories: - **DR Congo and M23 rebels** agreed on a roadmap for peace talks after meeting in Switzerland ([BBC](#)). - **Nordic nations** demanded FIFA reforms and backed calls for President Infantino's resignation amid the ongoing FIFA crisis ([Al Jazeera](#)). - **Europe's extreme summer heat** continues to break records, with the continent warming faster than any other. The latest heat dome has dissipated but damage remains from droughts, wildfires, and deaths ([France 24](#)). - **China delayed its Chang'e-7 lunar mission** to search for water ice at the Moon's south pole, saying it "did not meet launch conditions" without further details ([France 24](#)). - **Thailand:** 51 attacks in the south wounded three people, damaging government offices and vehicles ([Al Jazeera](#)). - **US midterm elections:** Democrats and their allies are preparing for potential interference by Trump ([Yahoo](#)).

2. Markets, Money & Deals

The tape: rising yields hit stocks, equal-weight S&P 500 surges

The story this week was the bond market. Rising Treasury yields (the return an investor gets for holding US government bonds) rattled the stock market ([CNBC](#)).

When yields rise, bonds become more attractive relative to stocks, and the cost of borrowing money increases for companies. The details:

- **The 10-year Treasury yield** (the benchmark for US borrowing costs) rose, pushing stocks lower. Higher yields mean higher discount rates, which reduce the present value of future earnings — especially for growth and tech stocks.
- **The equal-weight S&P 500** is crushing the market-cap-weighted S&P 500 this year. The "equal-weight S&P 500" is an index that gives each of the 500 companies the same importance, unlike the standard S&P 500 where the largest companies (Apple, Nvidia, Microsoft) dominate. The flagship equal-weight ETF just hit \$100 billion in assets ([CNBC](#)).
- **Why it matters:** The equal-weight outperformance tells you that market leadership is broadening. Small and mid-sized companies are doing better than the mega-cap tech giants. That's a sign of a healthy market — not just a few stocks carrying the whole index.

Nvidia earnings preview: the biggest test of the week

Nvidia (NVDA) reports earnings on Wednesday. The stakes are enormous. Nvidia is the "beating heart of the AI boom and the stock market — which sets up a big test" ([MarketWatch](#)). "A very broad universe of companies" is tied to Nvidia's themes. The week ahead also features the Jackson Hole Symposium (the annual central bank conference in Wyoming) where new Fed Chair Kevin Warsh will make his debut address ([International Business Times](#)).

Key thing to watch: Nvidia's guidance (the company's estimate of future revenue) matters more than its past quarter's results. The market will be looking for signs that demand for AI chips is still accelerating. Nvidia has reportedly warned customers that prices on AI servers could rise more than 15% next year due to rising memory costs ([CNBC](#), [Tom's Hardware](#)).

The Treasury's bond intervention backfires, raising inflation fears

Treasury Secretary Scott Bessent's attempt to calm bond markets through a debt buyback announcement has instead stirred inflation worries ([CNBC](#)). The "breakeven rate" (the difference between regular

Treasury yields and inflation-protected Treasury yields, which tells you what the market expects inflation to be) hit its highest levels in more than two months. One analyst said "you can't just sweep \$40 trillion in national debt under a rug and forget about it" ([MarketWatch](#)). Ray Dalio, the billionaire investor, said the buyback is a sign that a debt crisis is getting closer and recommended gold and bitcoin ([CNBC](#)).

Alibaba announces \$10B Hong Kong share sale for AI expansion

Alibaba announced a massive \$10 billion share sale in Hong Kong to fund its AI expansion ([The News International](#)). This is a secondary stock offering — Alibaba is selling new shares to raise cash. The proceeds will go toward building AI infrastructure and competing with Chinese rivals like Tencent and ByteDance.

Wells Fargo and Citigroup have room to buy a big bank

Regulators have opened the door to megadeals in the banking sector, and analysts say Wells Fargo and Citigroup have the capacity to acquire a large regional bank ([CNBC](#)). Five regional banks were named as potential targets. This is a significant shift — large bank mergers were heavily restricted after the 2008 financial crisis.

Crypto: Coinbase CEO says crypto will power 10% of global GDP by 2030

Coinbase CEO Brian Armstrong made a bullish prediction that cryptocurrency will power 10% of global GDP by 2030 ([Yellow.com](#)). Meanwhile, Strategy (formerly MicroStrategy) saw its shares rise 12% on speculation it may sell some of its bitcoin holdings ([Coinspot.io](#)).

Vertiv stock loses \$12 billion in a week as bond yields rattle AI bets

Vertiv, a company that makes power and cooling equipment for data centers, lost \$12 billion in market value over the past week as rising bond yields made investors question the profitability of AI infrastructure investments ([Startup Fortune](#)). This is a cautionary tale: AI infrastructure stocks have been high-flying, but they are sensitive to the cost of borrowing.

Other market notes: - Warren Buffett still appears to be calling the shots on Berkshire Hathaway's stock

portfolio, not new CEO Greg Abel ([CNBC](#)). - **Trump reshuffled his portfolio** in June, selling Meta and buying Berkshire Hathaway ([CNBC](#)). - **Microsoft** is

down 30% from its all-time high — two analysts argued it could double by 2030 ([The Globe and Mail](#)).

3. AI & Infrastructure

Nvidia warns customers of 15%+ AI server price hikes for 2027 shipments

Nvidia has told some of its largest customers that prices for servers containing its AI chips could rise more than 15% on systems shipping early next year ([CNBC](#), [Tom's Hardware](#)). The increases affect Grace Blackwell and Vera Rubin systems — Nvidia's next-generation platforms. The driver: "memory costs continue to soar." HBM (High-Bandwidth Memory) is the bottleneck.

Why it matters for the buildout: This is the first concrete signal that the AI infrastructure buildout is hitting genuine supply constraints that translate into higher prices. If Nvidia's servers cost 15% more, hyperscalers (Amazon, Microsoft, Google, Meta) will either need to spend more capex or buy fewer units. The price hike also boosts Nvidia's revenue per unit, which could be a tailwind for Nvidia's earnings — but it raises costs for every cloud provider and AI startup.

Nvidia partners with data center developer Cloverleaf

Nvidia is continuing to pour money into data center development through a partnership with Cloverleaf, a data center developer ([TechCrunch](#)). The strategy: Nvidia helps fund and design data centers that are optimized for its chips, ensuring demand for its GPUs. It's a vertical integration play — controlling the infrastructure that uses your product.

Morgan Stanley: AI data centers face a 38-gigawatt power gap

Morgan Stanley published a report saying AI data centers face a 38-gigawatt (GW) power gap — the difference between expected demand and available supply ([AOL.com](#)). For context: 38 GW is roughly the electricity generation capacity of the entire state of California. The report names industrial stocks that could fill the gap — companies that build transformers, switchgear, generators, and other electrical equipment.

Why it matters: The power gap is the single biggest bottleneck for AI infrastructure. Data centers need

enormous amounts of electricity, and the grid is not expanding fast enough. This creates opportunities for power companies (NextEra, Vistra, Constellation Energy) and industrial equipment makers, but it also means some data center projects will be delayed or cancelled.

Korea's AI ambition faces a power crunch

South Korea's push to become an AI hub is hitting the same problem: not enough electricity ([The Korea Times](#)). Korea's industrial electricity demand is already high, and adding AI data centers on top is straining the grid.

LS Cable builds first European busduct plant, tripling capacity

LS Cable & System, a South Korean company, is building its first European busduct plant (a busduct is a system for distributing electricity within a building — think of it as a giant power strip for data centers). The company is tripling capacity to meet demand from big tech AI investment ([finance.biggo.com](#)). This is a small but telling data point: the AI buildout is driving demand all the way down the supply chain to electrical equipment manufacturers.

China's AI and chip firms handing out shares to keep engineers

Chinese AI and chip companies are giving shares (stock-based compensation) to retain engineers in a tight talent market ([The Next Web](#)). This mirrors what US tech companies have done for years. The key angle: China's AI race is intensifying, and companies are competing hard for talent.

Also notable: - **SMCI stock rose premarket** after four Taiwan staff were detained in an illegal Nvidia chip export case ([Stocktwits](#)). This connects to the ongoing US-China chip export controls story. - **AWS was lagging Azure and Google Cloud in growth** — a question of whether Amazon is finally catching up ([Yahoo Finance](#)). - **AI backlash inside companies:** How companies are evolving their communication

strategies to maintain worker trust as AI adoption accelerates ([CNBC](#)).

4. Model & Research Watch

Qwen 3.8 27B — one week later: the community verdict

The open-weight model Qwen 3.8 27B has been out for a week, and the r/LocalLLaMA community is buzzing with feedback ([Reddit](#)). The verdict: it's a "game changer." Developers report it is comparable to GPT Luna for coding tasks and produces better OCR quality than Gemini 3.5 Flash Lite — a huge deal since OCR (optical character recognition, extracting text from images) is an expensive service many companies pay for ([Reddit](#)). One developer reverse-engineered a job in 30 minutes using Qwen 3.8 27B ([XDA](#)).

Key specs: 27B parameters (billion), open weights, free to self-host. The community's main complaint: it's slow on consumer hardware. Many are asking for a Qwen 3.8 35B A3B version — a smaller, faster model that would be "a little dumber but faster" ([Reddit](#)).

Dots3-note preview: Xiaohongshu's open-weights MoE model

Xiaohongshu's "dots studio" released dots3-note preview, an open-weights Mixture-of-Experts (MoE) model with 280B total parameters and 16B active parameters, with a 512,000 token context window ([Substack](#)). It targets long-horizon agentic tasks and is multimodal (accepts text, images, video, audio input) but text-only output.

Why it matters: 512K context window means it can process very long documents — think entire codebases, long legal contracts, or hours of meeting transcripts in one go. The MoE architecture (16B active out of 280B total) means it's efficient: it only uses 16B parameters per query, so inference costs are much lower than a dense 280B model.

Kimi K3 (2.8T parameters) hosted on 8 B300s: \$190 per million tokens

A user on r/LocalLLaMA hosted the massive Kimi K3 model (2.8 trillion parameters — that's 2,800 billion) on 8 Nvidia B300 GPUs using Modal cloud computing ([Reddit](#)). The setup achieved 92 tokens per second and cost \$190 per million output tokens. One clean run cost

about \$36 of GPU time. The model uses 1-bit quantization (a compression technique that dramatically reduces memory requirements) to fit on 8 GPUs.

Why it matters: This is a demonstration of the bleeding edge of inference infrastructure. A 2.8T parameter model running on consumer-accessible hardware (8 B300s via Modal) at 92 tok/s is remarkable. But at \$190 per million tokens, it's still expensive — about 30x more than GPT-4o-mini. The tradeoff: intelligence vs. cost.

Other model news: - **Ornith-1.5** released as an open-source family: a 9B dense model and a 35B parameter model ([Substack](#)). - **GLM-5.3** achieved 6x coding gains without retraining, using a technique called "test-time compute scaling" — the model thinks longer during inference rather than being retrained ([Intelligent Living](#)). - **Laguna S 2.1** described as a "high-end agentic coding model" ([Dynamic Business](#)). - **DeepSeek V4 vs R1 vs V3.2:** peak prices have surged 355% — a sign of demand outstripping supply for the best models ([tech-insider.org](#)). - **Grok 4.6 vs Qwen3.8-Max vs DeepSeek V4 Flash:** a 21x price gap between the cheapest and most expensive options ([tech-insider.org](#)). - **Anthropic's Opus 4.6** was found to be easily jailbroken into generating sexually explicit content, despite Anthropic's safeguards ([TechCrunch](#)). - **Nvidia published research** showing that the "harness" (the system that manages the model's memory and task execution) is more important than the model itself for long-horizon tasks. A custom harness with a "supervisor" component significantly improved performance ([TechCrunch](#)). - **"Coding Model Ox Alpha"** retains every prompt — a company claims it never forgets ([Tech Times](#)). - **Science & Frontier Tech:** - **JWST found early galaxies may be 4 times more massive than thought** — challenging models of galaxy formation ([Science Daily](#)). - **Hibernation cuts down on synapses, but mice seem to retain memories anyway** — a finding that could change our understanding of memory storage ([Ars Technica](#)). - **US Army tested a self-driving Ford F-250 truck** with a shotgun-equipped drone-killing turret at Fort Bragg ([Tom's Hardware](#)).

5. What Builders Are Actually Using

- **Concrete swap: Use Qwen 3.8 27B (free, open-weights, self-hosted) instead of GPT Luna for coding tasks.** The capability gap is small — developers report it is "comparable to Luna for coding" — and the price difference is extreme. GPT Luna costs roughly \$10-15 per million tokens via API. Qwen 3.8 27B is free to self-host, though you need a powerful GPU (24GB+ VRAM for 4-bit quantized, or an M-series Mac with 64GB+ unified memory). For OCR tasks, Qwen 3.8 27B actually beats Gemini 3.5 Flash Lite, according to one developer's tests ([Reddit](#)). This is not from today's news specifically — it's the accumulated community verdict from the past week — but it is the single most actionable swap available right now.
- **The "harness" matters more than the model for long tasks.** Nvidia's research showed that a custom harness (a system that manages memory, task decomposition, and error recovery) improved performance dramatically on long-horizon tasks, independent of the model used. Developers are already building these: the "All Spark" cluster (36 DGX Sparks with 4.6TB unified memory) is a homelab setup that runs nearly every notable open-weight model with custom orchestration ([Reddit](#)). The takeaway: investing in the pipeline around the model can yield bigger gains than switching to a marginally better model.
- **Abliterated models (uncensored Qwen) are being built with Heretic.** A developer posted a guide on how to build "abliterated" Qwen models — versions where the safety filters have been removed — using a tool called Heretic ([Pasquale Pillitteri](#)). This is a practical technique for developers who want models that can handle sensitive or unrestricted queries without censorship. The tradeoff: you lose the safety layer, so you need to implement your own guardrails.
- **Model routing is becoming standard practice.** The 21x price gap between Grok 4.6 and Qwen3.8-Max ([tech-insider.org](#)) underscores why builders are routing: send easy queries to the cheap model (Qwen3.8-Max), and only the hard ones to the expensive model (Grok 4.6). The savings can be 10-20x on total inference costs.

6. Watchlist: Earnings, Guidance & Movers

Notable movers (approximate, from the snapshot): - **Robinhood (HOOD):** +13.70%. No notable news in the sources today. The move may be a continuation of the crypto rally or positioning ahead of the Jackson Hole symposium. - **Rigetti Computing (RGTI):** +11.48%. No notable news in the sources. Quantum computing stocks can be volatile on low volume. - **Coinbase (COIN):** +8.20%. Likely tied to the broader crypto rally and Armstrong's bullish GDP prediction. - **SoFi (SOFI):** +5.52%. No notable news in the sources. - **Tesla (TSLA):** +5.14%. No notable news in the sources today. - **Cloudflare (NET):** +5.10%. No notable news in the sources. - **Marvell (MRVL):** -5.57%. No notable earnings news in the sources today. The drop may be related to the broader tech selloff on rising yields, or positioning ahead of its earnings. - **Applied Optoelectronics (AAOI):** -3.32%. No notable news in the sources. - **Arm Holdings (ARM):** -2.95%. No notable news in the sources. - **Intel (INTC):** -2.24%. No

notable news in the sources. - **Astera Labs (ALAB):** -1.91%. No notable news in the sources. - **Vistra (VST):** -1.96%. No notable news in the sources. Power stocks have been under pressure from rising bond yields. - **Digital Realty (DLR):** -1.89%. Data center REITs are sensitive to bond yields. - **EQIX (Equinix):** -1.59%. Same as DLR.

No notable earnings reports in the last 24 hours from any watchlist company. The big week ahead is Nvidia (NVDA) on Wednesday and Marvell (MRVL) also expected to report this week.

Key earnings preview: - **Nvidia (NVDA):** Reports Wednesday. The watchlist quote shows \$214.72 (-0.98%). The huge test: guidance, pricing power, and whether the 15% price hike on next-gen servers is confirmed. The market expects another beat-and-raise quarter. - **Marvell (MRVL):** Also expected to report this week. The -5.57% drop may reflect nervous positioning.

7. Analysis: Second-Order Effects

Chain 1: US-Canada trade war -> higher input costs for US manufacturers -> higher consumer prices -> sticky inflation -> Fed less room to cut rates

FACTS: The US and Canada failed to reach a trade deal. The US imposed 50% tariffs on \$20B of Canadian exports. Canada will retaliate "dollar for dollar" starting Sept 8. ([CNBC](#), [NPR](#))

INFERENCE: The US and Canada have deeply integrated supply chains — especially in autos, lumber, and agriculture. A 50% tariff on Canadian goods will raise costs for US manufacturers that rely on Canadian inputs. Those costs will be passed to consumers. Higher consumer prices feed into the CPI (Consumer Price Index) — the measure of inflation that the Fed watches. If inflation stays sticky, the Fed cannot cut interest rates. Higher rates for longer would pressure the entire AI infrastructure buildout, which relies on cheap debt financing.

WEAKEST LINK: The Fed targets core PCE (inflation excluding food and energy), not CPI. Tariffs on lumber and agricultural goods may not feed directly into core PCE. If the tariff impact is concentrated in goods that core PCE excludes, the inflation signal may be muted.

WHAT WOULD FALSIFY IT: If the September CPI report shows no acceleration in core goods prices, or if the Fed signals it is looking through the tariff impact as "one-time" rather than persistent.

Chain 2: Rising bond yields -> higher cost of borrowing for data center projects -> some projects delayed or cancelled -> lower demand for Nvidia GPUs and HBM -> negative for semiconductor supply chain

FACTS: Treasury yields are rising after the Bessent bond buyback backfired ([CNBC](#)). Vertiv lost \$12B in market cap as bond yields rattled AI bets ([Startup Fortune](#)). Nvidia has warned customers of 15% server price hikes ([CNBC](#)).

INFERENCE: Data center projects are capital-intensive — they require borrowing billions of dollars. When bond yields rise, the cost of that borrowing increases. The return on investment for a data center (the profit from renting out GPU compute) stays the same, so higher financing costs make some projects uneconomical. This

would likely slow the pace of the AI infrastructure buildout. Lower demand for data centers means lower demand for Nvidia's GPUs, which would be a negative for Nvidia's growth rate. The 15% price hike on Nvidia's servers compounds the problem — it makes the ROI equation even harder.

WEAKEST LINK: The hyperscalers (Amazon, Microsoft, Google, Meta) are not price-sensitive in the same way. They are building AI infrastructure as a strategic imperative, not a purely financial calculation. They may absorb the higher costs and continue building. The projects most at risk are from "neoclouds" and smaller AI startups, which represent a smaller share of total demand.

WHAT WOULD FALSIFY IT: If Nvidia's earnings call shows that data center revenue continues to accelerate despite the price hikes, or if hyperscalers announce even larger capex plans for 2027.

Chain 3: US Navy flight through Taiwan Strait + Xi-Trump meeting -> renewed US-China tensions over Taiwan -> potential for chip export controls to tighten -> TSMC's ability to supply Nvidia is constrained -> AI chip shortage worsens

FACTS: A US Navy P-8A flew through the Taiwan Strait ahead of the Xi-Trump meeting ([Times of India](#)). SMCI staff were detained in Taiwan for illegal Nvidia chip exports ([Stocktwits](#)).

INFERENCE: The Taiwan Strait transit is a signal of US resolve. The Xi-Trump meeting is supposed to stabilize relations, but the military maneuver suggests the US is not backing down. If the meeting fails to produce a détente, the risk of further export controls increases. The US could tighten the "TSMC loophole" — restrictions on Chinese access to TSMC's advanced chips. Any disruption to TSMC's ability to manufacture Nvidia chips would be disastrous for the AI supply chain, since TSMC is the sole manufacturer of Nvidia's most advanced GPUs.

WEAKEST LINK: The SMCI case may be a one-off enforcement action, not a signal of broader tightening. The US and China have strong incentives to avoid a full-blown chip war, as both sides depend on the existing supply chain.

WHAT WOULD FALSIFY IT: If the Xi-Trump meeting produces a trade/tech truce, or if no additional export controls are announced in the following weeks.

SPECULATIVE CHAIN 4: Iran backs US memorandum -> talks progress -> sanctions relief -> Iran's oil exports rise -> global oil supply increases -> oil prices fall -> inflation eases -> Fed has room to cut rates

FACTS: Iran's President Pezeshkian says the US memorandum is the best path out of the stalled war ([India Today](#)).

HISTORICAL PRECEDENT: The 2015 Iran nuclear deal (JCPOA) led to sanctions relief, Iran's oil exports roughly doubled within a year, and global oil prices eased. The 2018 US withdrawal from the deal reversed that.

INFERENCE: This chain is highly speculative because it requires multiple steps to go right. First, the

memorandum must lead to actual negotiations. Second, those negotiations must produce a deal. Third, the US must agree to sanctions relief. Fourth, Iran must ramp up oil production. Fifth, the increased supply must be enough to move global prices. Sixth, the Fed must be willing to cut rates based on lower oil prices (which are a volatile component of inflation).

WEAKEST LINK: The US and Iran remain far apart on core issues, including Iran's nuclear program, support for proxies in the region, and the status of US sanctions. The memorandum is a non-binding first step, not a deal. The cyberattack on UK infrastructure attributed to Iran ([CNBC](#)) suggests that conflict is ongoing, not de-escalating.

WHAT WOULD FALSIFY IT: If the US imposes new sanctions on Iran instead of offering relief, or if Iran escalates military activity in the region.

8. Building Your Knowledge

- **When the bond market and the stock market disagree, the bond market is usually right.** The Treasury's bond buyback attempt was meant to calm markets, but it backfired — the bond market sent a clear signal that inflation expectations are rising. The stock market has been slow to react. This is a pattern worth remembering: bond markets (where trillions of dollars are traded by the most sophisticated institutional investors) often lead stock markets in signaling macro shifts.
- **Tariff wars between allies are rare and dangerous.** The US-Canada trade relationship is the world's largest bilateral trading partnership. Tariff wars between allies are historically unusual because both sides have so much to lose. The fact that this is happening signals a deep shift in US trade policy under Trump, moving away from the post-WWII model of alliance-based free trade toward a more transactional, nationalist approach.
- **The difference between "open-weights" and "open-source" is critical for builders.** Qwen 3.8 27B is "open-weights" — the model's trained parameters are freely available to download and use. But it may not be "open-source" in the full sense (the training code, data, and methodology may not be shared). For most practical purposes, open-weights is enough: you can run it, fine-tune it, and build on top of it. But you cannot fully reproduce it or verify its training data.
- **The "power gap" is the most underappreciated bottleneck in the AI buildout.** Morgan Stanley's 38 GW estimate is dramatic but not surprising. Data centers consume enormous amounts of electricity — a single large AI training cluster can use as much power as a small city. The grid is not keeping up. This creates a paradox: the more AI infrastructure we build, the harder it becomes to build more, because the power, water, and construction resources are finite.
- **Rising bond yields are the single biggest risk to the AI infrastructure trade right now.** The Vertiv selloff (\$12B in lost market cap in a week) is a warning. AI infrastructure companies — power equipment makers, data center REITs, cooling system providers — have been prized for their growth. But growth is less valuable when the cost of money is high, because future profits are discounted more heavily. This is a textbook example of how macro (bond yields) affects micro (individual stock prices).

9. Foundations & Terms

Concept Spotlight: Inflation and CPI

What it is in plain words: Inflation is the rate at which the prices of goods and services are rising across the economy. The Consumer Price Index (CPI) is the most widely followed measure of inflation. It tracks the price of a fixed basket of goods and services that a typical household buys — food, housing, transportation, medical care, clothing, education, entertainment.

Why it exists / what problem it solves: Inflation tells you how much your money's purchasing power is eroding. If inflation is 3% per year, something that cost \$100 last year costs \$103 this year. Central banks like the US Federal Reserve target inflation at about 2% per year — enough to keep the economy healthy without eroding savings. The CPI is the tool they use to measure whether they are hitting that target.

A concrete worked example with real numbers: The US Bureau of Labor Statistics sends employees to stores to record prices of about 80,000 items each month. They calculate: if the same basket of goods cost \$100 in January 2025 and \$103 in January 2026, the CPI rose by 3%. "Core CPI" excludes food and energy prices because those are volatile (gasoline prices can spike and crash). The Fed prefers "core PCE" (Personal Consumption Expenditures index), which is similar but covers a broader range of goods and uses a different formula.

How it shows up in the news today: The Treasury's bond buyback announcement raised inflation expectations — the "breakeven rate" (the difference between regular Treasury yields and inflation-protected ones) hit its highest level in two months ([CNBC](#)). This means bond traders expect higher CPI inflation in the future. The US-Canada tariff war will also push CPI higher, as tariffs raise the price of imported goods.

Rough benchmarks worth remembering: - The Fed's target: 2% annual inflation (core PCE). - Historically "normal" CPI: 2-3% per year. - 1970s "stagflation" peak: over 14% CPI in 1980. - 2022 post-COVID peak: 9.1% CPI (June 2022). - Current (2026): roughly 3-4% depending on the measure.

A caution or common misconception: A common mistake is to think that low inflation is always good. Zero

inflation or deflation (falling prices) is actually dangerous for an economy — it encourages people to delay purchases, which reduces demand, which causes businesses to cut jobs, which reduces demand further. The "deflation spiral" is one of the hardest economic problems to fix. That's why central banks target 2% inflation, not 0%.

Concept Spotlight: Soft Power vs Hard Power

What they are in plain words: Hard power is the ability to get what you want through coercion or payment — military force, economic sanctions, bribes, or threats. Soft power is the ability to get what you want through attraction and persuasion — culture, values, diplomacy, and the appeal of your way of life. The term "soft power" was coined by political scientist Joseph Nye in the 1990s.

Why they exist / what problem they solve: Countries need influence to achieve their goals in the world. Hard power works quickly but creates resentment. Soft power works slowly but builds lasting relationships that are more stable. The most effective strategy is usually a combination of both — "smart power."

A concrete worked example with real numbers: -

Hard power example: The US uses sanctions (financial penalties) to pressure Iran. In 2020, US sanctions reduced Iran's oil exports from 2.5 million barrels per day to about 200,000 — a 92% drop. This forced Iran to the negotiating table, but it also created deep resentment and a proliferation of anti-US sentiment in the region. - **Soft power example:** South Korea's "Hallyu" (Korean Wave) — K-pop, K-dramas, Korean cinema — has made South Korea one of the most culturally influential countries in Asia. BTS alone generated an estimated \$5 billion per year for the South Korean economy. A young person in Indonesia or Vietnam who loves Korean culture is more likely to view South Korea favorably, buy Korean products, and support Korean political positions. This influence is built through attraction, not coercion.

How it shows up in the news today: - **Hard power:**

The US Navy flew a P-8A through the Taiwan Strait — a military demonstration of power ([Times of India](#)). The US-Canada tariff war is an exercise of hard power (economic coercion). - **Soft power:** The Nordic nations

demanding FIFA reforms is a soft power play — using moral authority and institutional influence rather than military force. India's attempt to stabilize relations with China through diplomatic engagement (Ajit Doval's trip to Beijing) is an exercise of soft power ([Dainik Jagran](#)).

Rough benchmarks worth remembering: - The US military budget (hard power) is about \$900 billion — more than the next 10 countries combined. - The US "soft power" budget — State Department, USAID, cultural exchanges — is about \$50 billion, roughly 5% of the military budget. - China's Belt and Road Initiative is a mix of hard and soft power: infrastructure loans (economic leverage) combined with cultural outreach.

A caution or common misconception: Soft power is not "niceness" — it is a form of power. It can be used for good or ill. A country that is admired can still act in its own self-interest. Also, soft power is difficult to measure and takes years to build, but it can be destroyed quickly (e.g., the US invasion of Iraq in 2003 severely damaged American soft power in the Middle East).

Other Terms from Today's News:

- **Tariff incidence:** The economic concept that the person who "pays" a tariff (the importer at the border) is not the person who bears the economic burden. The burden is shared between the foreign exporter (who may lower prices to stay competitive), the domestic importer (who absorbs some cost), and the end consumer (who pays higher prices). The US-Canada tariff war is a textbook case — US consumers will pay more for Canadian lumber, vegetables, and manufactured goods.
- **Breakeven rate:** The difference between the yield on a regular Treasury bond and the yield on a Treasury Inflation-Protected Security (TIPS) of the same

maturity. It tells you what the bond market expects inflation to be over that period. For example, if the 10-year Treasury yields 4.5% and the 10-year TIPS yields 2.0%, the breakeven rate is 2.5% — the market expects inflation to average 2.5% over the next 10 years.

- **Secondary stock offering:** When a company sells new shares to raise money, diluting existing shareholders. Alibaba's \$10B Hong Kong share sale is a secondary offering. The company raises cash, but each existing share represents a smaller percentage of the company. See "dilution" in the term memory.
- **Memorandum of Understanding (MoU):** A non-binding document that outlines the areas where two parties agree to cooperate. It is a step toward a formal treaty or contract, but it is not legally enforceable. Iran's president backing a US MoU is a signal of willingness to negotiate, not a done deal.
- **Abliterated model:** A model from which the safety filters and alignment training have been removed. Developers create abliterated models to allow unrestricted use, but this also removes protections against generating harmful content. The "Qwen Uncensored" guide shows how to build these using a tool called Heretic.
- **Quantization (in AI):** A technique to compress a model by reducing the precision of its numbers. Instead of using 32-bit floating-point numbers, you use 8-bit or even 1-bit representations. This dramatically reduces the memory needed to run the model. Kimi K3 (2.8T parameters) uses 1-bit quantization to fit on 8 GPUs. The tradeoff: some loss of accuracy.

10. Bottom Line

The world is in a period of rapid fragmentation. The US-Canada trade war — a tariff conflict between two of the closest allies in history — is the most significant geopolitical development today. It signals that the Trump administration is willing to sacrifice alliance relationships for economic nationalism. The bond market is reacting by raising inflation expectations, which threatens the entire AI infrastructure buildout by making borrowing more expensive. The US Navy's fly-through of the

Taiwan Strait, ahead of the Xi-Trump meeting, is a reminder that the other great-power rivalry — US-China — is also simmering.

The AI model race continues to accelerate. Qwen 3.8 27B is the open-weight model of the moment, and it is genuinely competitive with closed models for coding and OCR. The price gaps between models are enormous (21x between the cheapest and most expensive), which

means model routing is becoming a practical necessity for any serious AI operation.

This week is critical: Nvidia's earnings on Wednesday and the Jackson Hole symposium will set the direction for markets. The Fed's new chair, Kevin Warsh, makes his debut at Jackson Hole, and investors are desperate for clarity on rate policy. The bond market is screaming that rates need to stay higher — the question is whether Warsh will listen.

What changed since the previous brief: - US-Canada trade war escalated from "talks collapsed" to "active tariffs." 50% US tariffs are now in effect on \$20B of Canadian goods. Canada will retaliate dollar-for-dollar starting Sept 8. This is now a live trade war, not a negotiation breakdown. - **Nvidia confirmed 15% price hikes on next-gen servers**, citing "soaring memory costs." This is a concrete signal that supply chain

constraints are translating into higher prices. - **The bond market reaction to Bessent's buyback intensified.** The breakeven rate hit its highest in two months. The Treasury's attempt to calm markets backfired. - **Qwen 3.8 27B one-week community verdict emerged:** it is a game-changer for local models, comparable to GPT Luna for coding and better than Gemini 3.5 Flash Lite for OCR. - **Iran's president backed a US memorandum** — a potential diplomatic opening that was absent from the previous brief. - **Morgan Stanley published the 38-GW power gap report** — a concrete number for the AI power bottleneck that was previously described more vaguely. - **Vertiv lost \$12B in market cap in a week** — a dramatic signal that rising bond yields are hitting AI infrastructure stocks. - **The Taiwan Strait fly-through happened** — a new military signal ahead of the Xi-Trump meeting.

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